

Ratio Analysis Using SBI

**Through SBI's Annual Reports**

# Why SBI?

Can we use the same ratios for SBI that we use for a manufacturing company?

- Not always. A bank's business is fundamentally different because its main activities are accepting deposits, lending money, managing investments and maintaining regulatory capital.
- So instead of blindly applying all traditional ratios, we analyse SBI through five relevant dimensions:

# **SBI Ratio Analysis: The Framework**

**SBI Financial Statements**



**Extract Financial Data**



**Calculate Ratios**



**Compare FY 2024–25 & FY 2025–26**



**Interpret Financial Performance**

# SBI FINANCIAL ANALYSIS

| Profitability | Efficiency     | Lending        | Capital | Asset Quality |
|---------------|----------------|----------------|---------|---------------|
| ROA           | Cost-to-Income | Credit-Deposit | CAR     | Net NPA       |
| ROE           |                |                |         | Gross NPA     |

# Understanding SBI's Financial Statements

|                                 | 2016-17          | 2017-18          | 2018-19          | 2019-20          | 2020-21          | 2021-22          | 2022-23          | 2023-24          | 2024-25          | 2025-26          |
|---------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Liabilities</b>              |                  |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Capital (₹ in crore)            | 797              | 892              | 892              | 892              | 892              | 892              | 892              | 892              | 892              | 923              |
| Reserves & Surplus (₹ in crore) | 1,87,489         | 2,18,236         | 2,20,021         | 2,31,115         | 2,52,983         | 2,79,196         | 3,26,716         | 3,76,354         | 4,40,270         | 5,43,519         |
| Deposits (₹ in crore)           | 20,44,751        | 27,06,344        | 29,11,386        | 32,41,621        | 36,81,277        | 40,51,534        | 44,23,778        | 49,16,077        | 53,82,190        | 59,75,642        |
| Borrowings (₹ in crore)         | 3,17,694         | 3,62,142         | 4,03,017         | 3,14,656         | 4,17,298         | 4,26,043         | 4,93,135         | 5,97,561         | 5,63,573         | 7,31,254         |
| Others (₹ in crore)             | 1,55,235         | 1,67,138         | 1,45,597         | 1,63,110         | 1,81,980         | 2,29,932         | 2,72,457         | 2,88,810         | 2,89,129         | 3,71,674         |
| <b>Total (₹ in crore)</b>       | <b>27,05,966</b> | <b>34,54,752</b> | <b>36,80,914</b> | <b>39,51,394</b> | <b>45,34,430</b> | <b>49,87,597</b> | <b>55,16,979</b> | <b>61,79,694</b> | <b>66,76,053</b> | <b>76,23,012</b> |
| <b>Assets</b>                   |                  |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Investments (₹ in crore)        | 7,65,990         | 10,60,987        | 9,67,022         | 10,46,954        | 13,51,705        | 14,81,445        | 15,70,366        | 16,71,340        | 16,90,573        | 18,01,254        |
| Net Advances (₹ in crore)       | 15,71,078        | 19,34,880        | 21,85,877        | 23,25,290        | 24,49,498        | 27,33,967        | 31,99,269        | 37,03,971        | 41,63,312        | 48,77,895        |
| Other Assets (₹ in crore)       | 3,68,898         | 4,58,885         | 5,28,015         | 5,79,150         | 7,33,227         | 7,72,185         | 7,47,344         | 8,04,383         | 8,22,168         | 9,43,863         |
| <b>Total (₹ in crore)</b>       | <b>27,05,966</b> | <b>34,54,752</b> | <b>36,80,914</b> | <b>39,51,394</b> | <b>45,34,430</b> | <b>49,87,597</b> | <b>55,16,979</b> | <b>61,79,694</b> | <b>66,76,053</b> | <b>76,23,012</b> |

# Analysis of SBI Ratios

## 1. Return on Assets - ROA

$$ROA = \frac{\text{Net Profit}}{\text{Average Total Assets}} \times 100$$

|     | FY 2024-25 | FY 2025-26 |
|-----|------------|------------|
| ROA | 1.10%      | 1.11%      |

### Interpretation

SBI's ROA increased marginally from **1.10% to 1.11%**, indicating a slight improvement in the bank's ability to generate profit from its asset base.

## 2. Return on Equity - ROE

$$ROE = \frac{\text{Net Profit}}{\text{Average Equity}} \times 100$$

|     | FY 2024-25 | FY 2025-26 |
|-----|------------|------------|
| ROE | 19.87%     | 18.57%     |

### Interpretation

SBI's ROE declined from **19.87% to 18.57%**, indicating that the return generated on shareholders' equity decreased slightly.

# Analysis of SBI Ratios

## 3. Cost-to-Income Ratio

$$\text{Cost-Income Ratio} = \frac{\text{Operating Expenses}}{\text{Operating Income}} \times 100$$

|                | FY 2024-25 | FY 2025-26 |
|----------------|------------|------------|
| Cost-to-Income | 51.64%     | 50.11%     |

### Interpretation

SBI's cost-to-income ratio declined from **51.64% to 50.11%**, indicating an improvement in operating efficiency.

## 4. Credit-Deposit Ratio

$$\text{CDR} = \frac{\text{Net Advances}}{\text{Deposits}} \times 100$$

### FY 2024-25

From SBI table:

Net Advances = ₹41,63,312

Deposits = ₹53,82,190 crore

$$\text{CDR} = \frac{41,63,312}{53,82,190} \times 100 = 77.35\%$$

### FY 2025-26

- Net Advances = ₹48,77,895

- Deposits = ₹59,75,642 crore

$$\text{CDR} = \frac{48,77,895}{59,75,642} \times 100 = 81.63\%$$

|                      | FY 2024-25 | FY 2025-26 |
|----------------------|------------|------------|
| Credit-Deposit Ratio | 77.35%     | 81.63%     |

### Interpretation

SBI's credit-deposit ratio increased from **77.35% to 81.63%**, indicating that a larger proportion of deposits was deployed as advances.

# Analysis of SBI Ratios

## 5. Capital Adequacy Ratio — CAR

$$CAR = \frac{\text{Regulatory Capital}}{\text{Risk Weighted Assets}} \times 100$$

|                        | FY 2024-25 | FY 2025-26 |
|------------------------|------------|------------|
| Capital Adequacy Ratio | 14.25%     | 15.40%     |

### Interpretation

SBI's capital adequacy ratio increased from **14.25% to 15.40%**, indicating a stronger capital position relative to its risk-weighted assets.

## 6. Net NPA Rat

$$\text{Net NPA Ratio} = \frac{\text{Net NPAs}}{\text{Net Advances}} \times 100$$

|                        | FY 2024-25 | FY 2025-26 |
|------------------------|------------|------------|
| Net NPA / Net Advances | 0.47%      | 0.39%      |

### Interpretation

SBI's net NPA ratio declined from **0.47% to 0.39%**, indicating an improvement in asset quality and a reduction in the proportion of net advances classified as non-performing.

## SBI Ratio Analysis: FY 2024–25 vs FY 2025–26

| Ratio          | FY 2024–25 | FY 2025–26 | Change    | Interpretation                            |
|----------------|------------|------------|-----------|-------------------------------------------|
| ROA            | 1.10%      | 1.11%      | ↑ 0.01 pp | Slight improvement in asset profitability |
| ROE            | 19.87%     | 18.57%     | ↓ 1.30 pp | Lower return to shareholders              |
| Cost–Income    | 51.64%     | 50.11%     | ↓ 1.53 pp | Improved operating efficiency             |
| Credit–Deposit | 77.35%     | 81.63%     | ↑ 4.28 pp | Greater deployment of deposits            |
| CAR            | 14.25%     | 15.40%     | ↑ 1.15 pp | Stronger capital position                 |
| Net NPA        | 0.47%      | 0.39%      | ↓ 0.08 pp | Improved asset                            |

## SBI: Profitability, Efficiency & Shareholder Performance

|                                                                 |        |         |        |        |          |          |          |          |          |          |
|-----------------------------------------------------------------|--------|---------|--------|--------|----------|----------|----------|----------|----------|----------|
| Net Interest Income (₹ in crore)*                               | 61,860 | 74,854  | 88,349 | 98,085 | 1,10,710 | 1,20,708 | 1,44,841 | 1,59,876 | 1,66,340 | 1,73,120 |
| Provisions for NPA (₹ in crore)                                 | 32,247 | 70,680  | 54,529 | 42,776 | 27,244   | 14,087   | 9,144    | 9,518    | 14,418   | 15,422   |
| Operating Result (₹ in crore)                                   | 50,848 | 59,511  | 55,436 | 68,133 | 71,554   | 75,292   | 83,713   | 93,797   | 1,10,579 | 1,23,015 |
| Net Profit Before Taxes (₹ in crore)                            | 14,855 | -15,528 | 1,607  | 25,063 | 27,541   | 43,422   | 67,205   | 81,783   | 95,272   | 1,05,477 |
| Net Profit (₹ in crore)                                         | 10,484 | -6,547  | 862    | 14,488 | 20,410   | 31,676   | 50,232   | 61,077   | 70,901   | 80,032   |
| Return on Average Assets (%)                                    | 0.41   | -0.19   | 0.02   | 0.38   | 0.48     | 0.67     | 0.96     | 1.04     | 1.10     | 1.12     |
| Return on Equity (%)                                            | 7.25   | -3.78   | 0.48   | 7.74   | 9.94     | 13.92    | 19.43    | 20.32    | 19.87    | 18.57    |
| Expenses to Income (%) (operating Expenses to total Net Income) | 47.75  | 50.18   | 55.70  | 52.46  | 53.60    | 53.31    | 53.87    | 55.66    | 51.64    | 50.11    |
| Profit Per Employee (₹ in 000)                                  | 511    | -243    | 33     | 578.98 | 828.35   | 1,292.72 | 2,122.64 | 2,620.46 | 2,991    | 3,255    |
| Earnings Per Share (₹)*                                         | 13.43  | -7.67   | 0.97   | 16.23  | 22.87    | 35.49    | 56.29    | 68.44    | 79.44    | 87.59    |
| Dividend Per Share (₹)*                                         | 2.60   | Nil     | Nil    | Nil    | 4.00     | 7.10     | 11.30    | 13.70    | 15.90    | 17.35    |
| Share Price (on NSE) (₹)*                                       | 293.40 | 249.90  | 320.75 | 196.85 | 364.30   | 493.55   | 523.75   | 810.80   | 771.5    | 979.40   |
| Dividend Payout Ratio % (₹)                                     | 20.11  | NA      | NA     | NA     | 17.49    | 20.00    | 20.08    | 20.02    | 20.01    | 20.01    |

# Analysis of SBI Ratios

## 1. Net Interest Income (NII)

- NII increased consistently from **₹61,860 crore** to **₹1,73,120 crore**.
- This indicates strong growth in SBI's **core banking income**—the difference between interest earned on loans/investments and interest paid on deposits.
- The nearly 3× increase shows improvement in the bank's earning capacity from its primary business.

## 2. Provision for NPA

- Provisions were very high initially, reaching **₹70,680 crore**, indicating significant stress from bad loans.
- They subsequently declined substantially, reaching around **₹9,144 crore**, before rising moderately again.
- Lower provisions generally mean **better asset quality and lower credit-loss pressure**.

## 3. Operating Profit

- Operating profit increased from **₹50,848 crore** to **₹1,23,015 crore**.
- This shows that the bank's **core operations became substantially more profitable**.
- The growth is particularly important because it shows improvement even before considering exceptional items or provisions.

# Analysis of SBI Ratios

## 4. Net Profit Before Tax

- It moved from **₹14,855 crore** → **-₹15,528 crore** → **₹1,607 crore** → **₹1,05,477 crore**.
- The negative figure indicates a period of substantial financial stress.
- After that, profitability recovered strongly and reached **₹1.05 lakh crore**.

## 5. Net Profit

- Net profit shows an even clearer turnaround:
  - **₹10,484 crore**
  - **-₹6,547 crore**
  - then steadily increasing to **₹80,032 crore**.
- The negative profit period reflects the impact of high provisions and asset-quality problems.
- The subsequent growth indicates **strong recovery and sustained profitability**.

# Analysis of SBI Ratios

## 6. Return on Average Assets (ROAA) $ROAA = \frac{\text{Net Profit}}{\text{Average Total Assets}} \times 100$

- ROAA improved from 0.41% → 1.12%.
- For a bank, even a change of a few tenths of a percentage point can be significant because banks operate with very large asset bases.
- It means SBI became progressively better at generating profit from its assets.

## 7. Return on Equity (ROE) $ROE = \frac{\text{Net Profit}}{\text{Average Equity}} \times 100$

- ROE initially stood at **7.25%**, fell to **-3.78%**, and then recovered strongly.
- It reached a peak of **20.32%**, before moderating to **18.57%**.
- This means shareholders were receiving substantially better returns on their invested capital.

## 8. Expenses to Income $\text{Expenses to Income} = \frac{\text{Operating Expenses}}{\text{Operating Income}} \times 100$

- The ratio was **47.75%** initially and eventually stood at **50.11%**.
- It fluctuated around **50–56%** during the period.
- A **lower ratio is generally better**, because it means the bank is spending less to generate each unit of income.
- SBI's ratio has not shown the same dramatic improvement as its profitability ratios.

# Analysis of SBI Ratios

## 9. Profit per Employee

- Increased dramatically from **₹5.11 lakh to ₹32.55 lakh per employee.**
- This indicates a significant improvement in **employee productivity.**
- SBI is generating much more profit from each employee than it did earlier.

## 10. Earnings Per Share (EPS)

- $\text{EPS} = \text{Profit available to equity shareholders} / \text{Number of shares}$
- EPS increased from ₹13.43 to ₹87.59.
- It also became negative during the loss-making period.
- The subsequent increase indicates that earnings attributable to each shareholder have grown substantially.

### Interpretation:

The strong increase in EPS reflects the improvement in SBI's profitability and creates greater value for equity shareholders.

## 11. Dividend Per Share

- Initially, SBI paid **₹2.60 per share.**
- During the loss-making period, the dividend was **Nil.**
- Dividend payments resumed and increased to **₹17.35 per share.**
- This indicates that as profitability and financial strength improved, SBI was able to **return more cash to shareholders.**

# Analysis of SBI Ratios

## 12. Share Price

- Share price moved from ₹293.40 to ₹979.40.
- Despite fluctuations, the overall increase is substantial.
- This reflects the market's improved perception of SBI's profitability, asset quality and future earning potential.

**13. Dividend Payout Ratio** 
$$\text{Dividend Payout Ratio} = \frac{\text{Dividend per Share}}{\text{EPS}} \times 100$$

- It was 20.11% initially.
- It became unavailable during the loss-making period.
- It subsequently remained around 17-20%, ending at 20.01%.
- This suggests SBI has been distributing a moderate portion of its earnings as dividends while retaining a significant portion for growth and capital requirements.

# Analysis of SBI Ratios

## 1. Profitability

**ROA:** 1.10% → 1.11%

**ROE:** 19.87% → 18.57%

**Net Profit:** ₹70,901 crore → ₹80,032 crore

**NII:** ₹1,66,340 crore → ₹1,73,120 crore

### **Analysis:**

SBI's profitability strengthened in FY 2025–26, with Net Interest Income and net profit increasing substantially. ROA improved marginally, indicating continued efficiency in generating profit from its large asset base. However, ROE declined from 19.87% to 18.57%, indicating a slight moderation in returns to shareholders.

## 2. Operating Efficiency

**Cost-to-Income:** 51.64% → 50.11%

**Operating Profit:** ₹1,10,579 crore → ₹1,23,015 crore

### **Analysis:**

SBI's operating efficiency improved, as reflected in the decline in the cost-to-income ratio. At the same time, operating profit increased, indicating stronger profitability from the bank's core operations.

# Analysis of SBI Ratios

## 3. Lending Performance

**Credit-Deposit Ratio:** 77.35% → 81.63%

**Analysis:**

SBI's credit-deposit ratio increased by 4.28 percentage points, indicating that a larger proportion of deposits was deployed as advances. Net advances increased from ₹41.63 lakh crore to ₹48.78 lakh crore, reflecting stronger credit deployment.

## 4. Asset Quality

**Net NPA:** 0.47% → 0.39%

**Analysis:**

SBI's net NPA ratio declined from 0.47% to 0.39%, indicating an improvement in asset quality. The lower proportion of stressed advances suggests reduced credit-loss pressure and a healthier loan portfolio.

# Analysis of SBI Ratios

## 5. Capital Adequacy

**CAR:** 14.25% → 15.40%

### **Analysis:**

SBI's capital adequacy ratio improved by 1.15 percentage points, indicating a stronger capital position relative to its risk-weighted assets. The higher CAR provides the bank with a stronger capital cushion against potential risks.

## 6. Shareholder Performance

**EPS:** ₹79.44 → ₹87.59

**DPS:** ₹15.90 → ₹17.35

**Share Price:** ₹771.50 → ₹979.40

### **Analysis:**

SBI's shareholder performance strengthened, with both EPS and dividend per share increasing. The substantial rise in share price indicates improved market perception of SBI's profitability, asset quality and future earning potential.

## SBI Annual Reports 2025-26